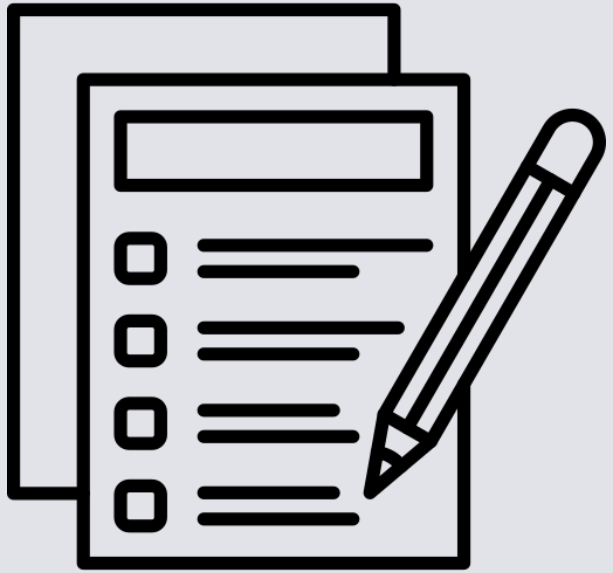
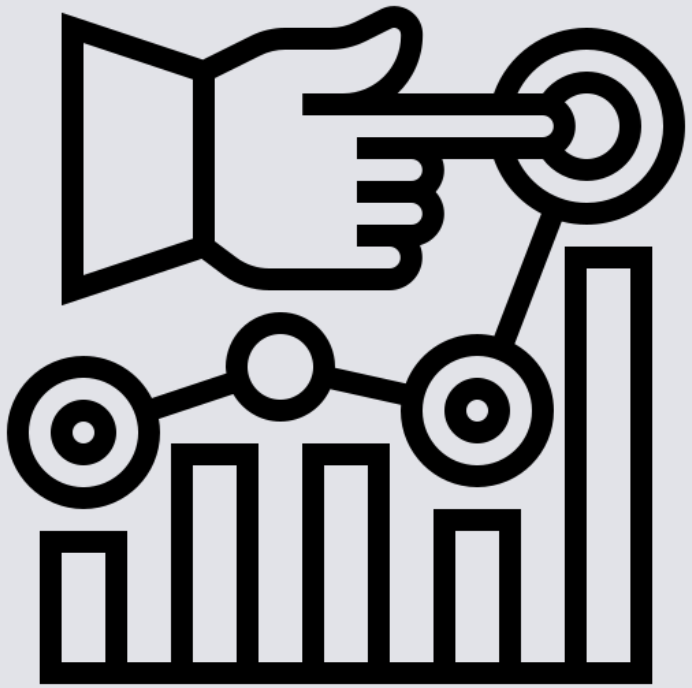
A Case Study on boAt

By- Lakshya Singh



Agenda

- INDUSTRY OVERVIEW
- MARKET CHALLENGES
- BACKGROUND
- CHALLENGES FOR boAt
- FINANCES
- REVENUE
- PROFIT
- COMPETITIVE ANALYSIS
- MARKETING STRATEGY
- IPL MARKETING STRATEGY
- MARKET SCENARIO
- IMPACT OF COVID-19
- CONCLUSION
- REFERENCE

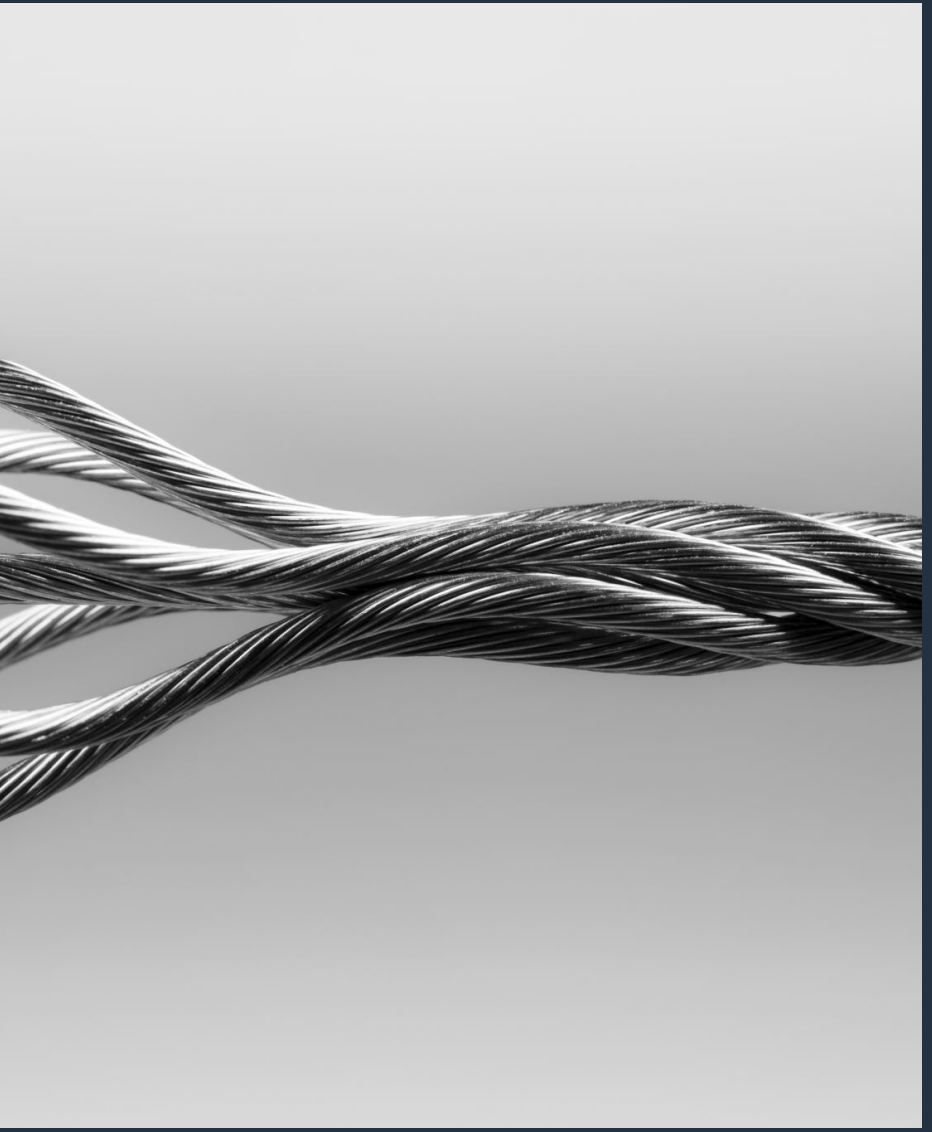


Industry Overview

- India’s music industry was valued at $122.2 Mn in 2019(including both physical and digital music platforms) which created a growing demand for production and consumption.
- Seeing this opportunity global giants like Apple, Sony, Bose, Sennheiser, and JBL offer a wide variety of products including everything from wired headphones to wireless Bluetooth speakers.

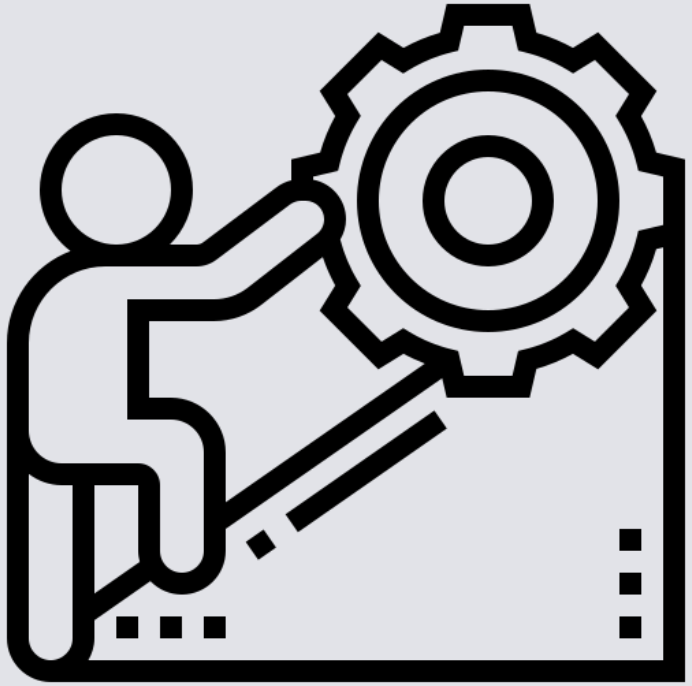
Market Challenges

- There were two major challenges faced by the wireless category. First, the wireless category played catch up in terms of sound quality with the wired category and second was battery life.
- Charging a headphone and a smartphone created friction in the life of everyday users.
- Industry experts bet that improved battery, charging, and audio technologies would act as a bridge and help the wireless segment overtake the wired segment in the future.



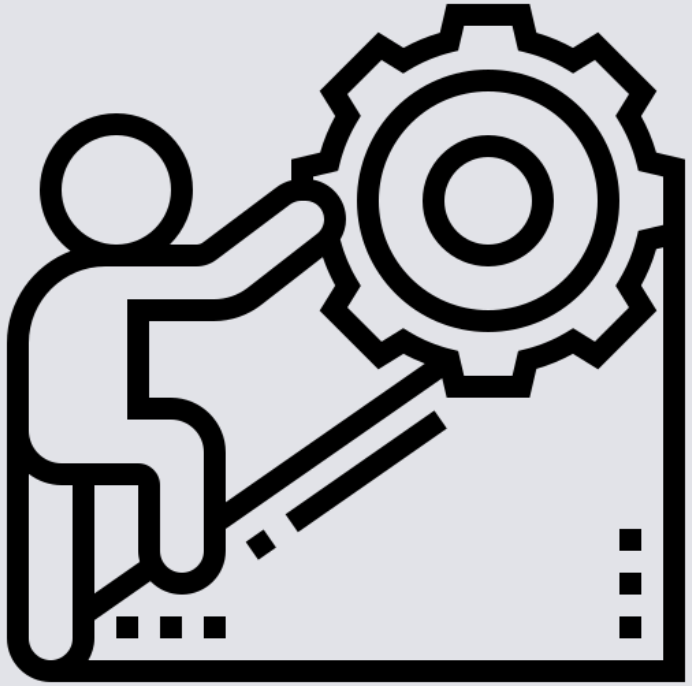
Background

- The co-founders, Aman Gupta and Sameer Mehta, started the company with **$36K** of their own money in 2016.
- BoAt started with its durable Kevlar fiber cables as an attempt to solve the problem of breaking of cables and chargers and went on to have sales of worth **$3.7M** with a profit of **$201k** in the first year itself.
- Earwear products and speakers were added to the portfolio in the next fiscal year which helped it grow nearly **4X**.



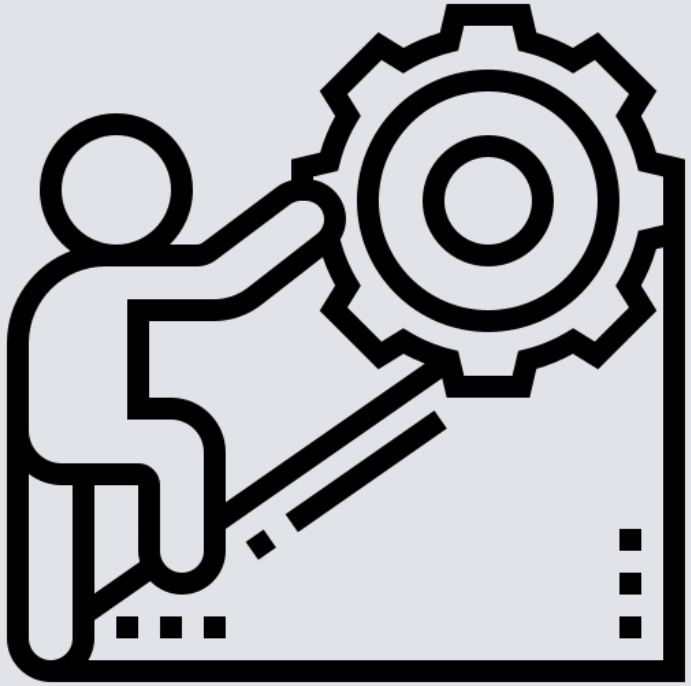
Challenges for boAt

- The biggest challenge was winning the trust of people in a market filled with high profile players like Apple, Sony, JBL, Sennheiser, and low-cost Chinese players which give a wide range of choices to millennials.
- In 2016 acceptance rate of products was low by customers and retailers alike.
- First measure taken by boAt to solve this problem was to carve out a market for itself by setting a sharp focus on millennials who wanted high bass music gear and considered them more than a piece of electronics.



Challenges for boAt

- The second measure taken by boAt was to focus on build quality.
- boAt products manufactured in China underwent a quality check by six people to ensure better build quality.
- Eco-friendly and nonhazardous materials were used to make the products.

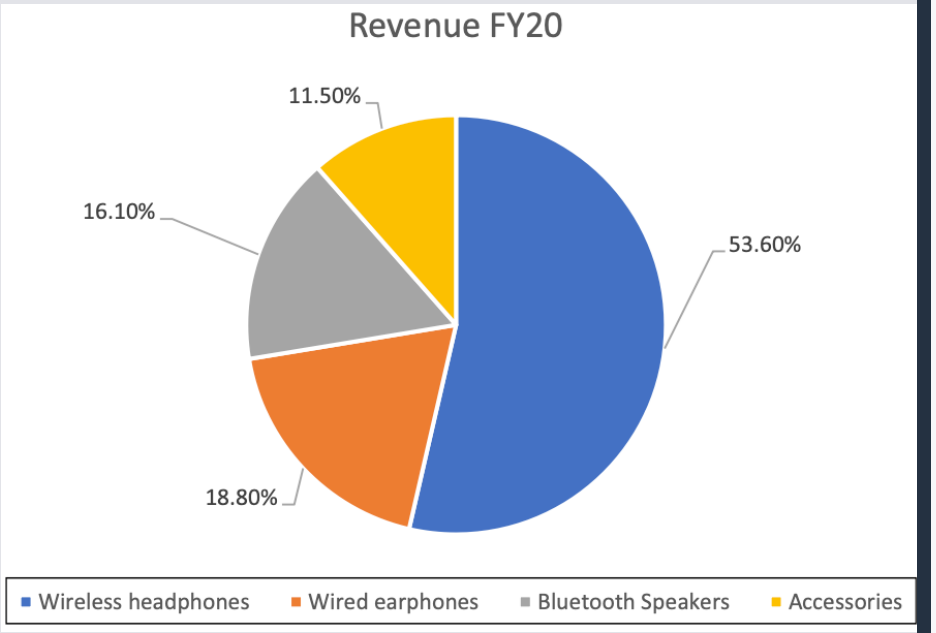


Challenges for boAt

- The third measure was to bring innovations tailored to India in its products.
- boAt knew most parts of India have humid climates throughout the year, so boAt launched water and dust-resistant and sweat-proof products.

Finances

- boAt has raised **$116.3M** in funding till date with help of **5** investors in **6** funding rounds.
- BoAt’s latest funding of **$6M** came from Qualcomm Ventures, the investment arm of Qualcomm Incorporated and an industry leader in wireless technologies on April 16, 2021.
- The investment was used for the research and development of next-generation audio and lifestyle products and increase its efforts to manufacture its products in India.



Revenue

- boAt generated **$3.7M** in revenue in FY17 and it increased to **$84.4M** in FY 20.
- In FY20, **53.6%** of boAt's total revenue came from wireless headphones and **18.8%** from wired earphones. Bluetooth speakers generated **16.1%** revenue. Accessories consisting of charges, smartwatches, power banks and charging cables generated **11.5%** of the remaining revenue

Profit

- In the fiscal year 2017, boAt achieved a profit of **$201k**, demonstrating the company's initial success in the market.
- Fast forward to the fiscal year 2020, and boAt significantly scaled its profitability, reaching an impressive **$5.9M**.
- This notable growth over the years reflects boAt's strategic business decisions, market positioning, and the effectiveness of its operational and financial strategies.

This Photo by Unknown Author is licensed under CC BY-NC-ND

Competitive Analysis
Skullcandy

- Skullcandy’s USP was large ear cups with integrated amplifiers.
- They also had a distinct design which provided them a competitive advantage over their competitors.
- Skullcandy mainly targeted users who listened to music while engaged in outdoor sports.

Competitive Analysis

Mivi

- Mivi sold cables, chargers, custom and designer cases, tempered glass, power banks, car accessories and audio products such as earphones and headphones.
- Mivi targeted customers of the **17–35** years age group, including college students and working professionals with monthly income from **$212 to $1,413**.
- Their customer profile includes tech-savvy people, music enthusiasts, online shoppers, fitness freaks and electronic gadget lovers.

Competitive Analysis

Noise

- Noise’s product portfolio included smartphone covers, smart wearables, Bluetooth earphones and portable speakers.
- The target audience of Noise includes millennials aged **18–35** years living in metros.
- Noise prices its product between **$28** and **$99**.

This Photo by Unknown Author is licensed under CC BY-SA

Competitive Analysis

Xiaomi

- Xiaomi’s product portfolio included smartphones, trimmers, headphones, televisions and vacuum cleaners.
- According to Counterpoint Research, Xiaomi’s Redmi earbuds were the market leader in the wireless hearable market in Q3 2020 in India, followed by boAt’s Airdopes 441 in the second place

This Photo by Unknown Author is licensed under CC BY-NC-ND

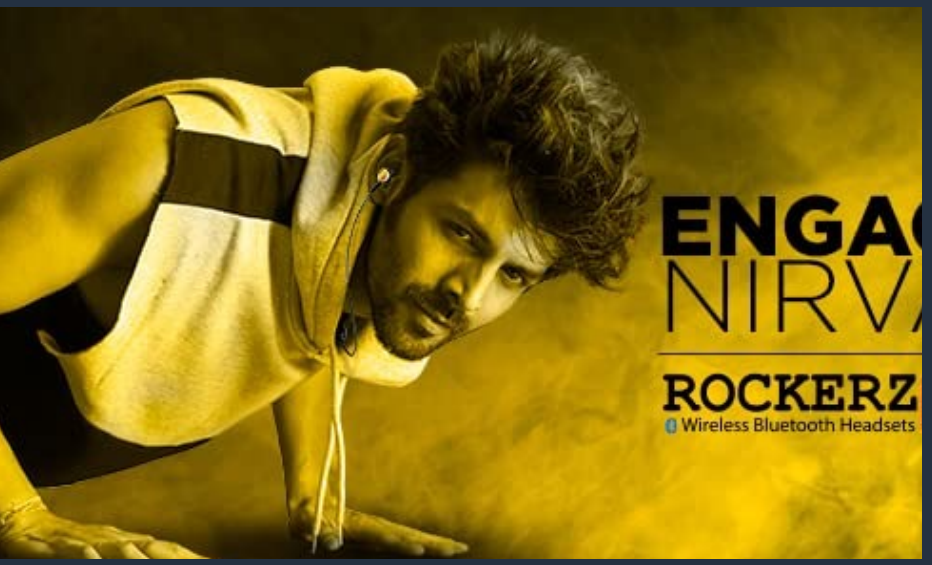
Competitive Analysis

Realme

- According to Counterpoint Research, Realme held the third spot in Q3 2020 with **12%** market share in India as it did not launch any new product in the quarter.
- Despite this, two of its models, Buds Q and Buds Air Neo, featured in the top 5 in the best-selling models' list.

Marketing Strategy

- boAt refers to its customers ‘boAtheads’ and has created a community of **8,00,000** boAtheads to date.
- boAt sold its products as lifestyle accessories instead of selling them as electronics only.
- This was proved by the fact that at the **Lakme Fashion Week** in Mumbai boAt products were the only accessories sported by the models.



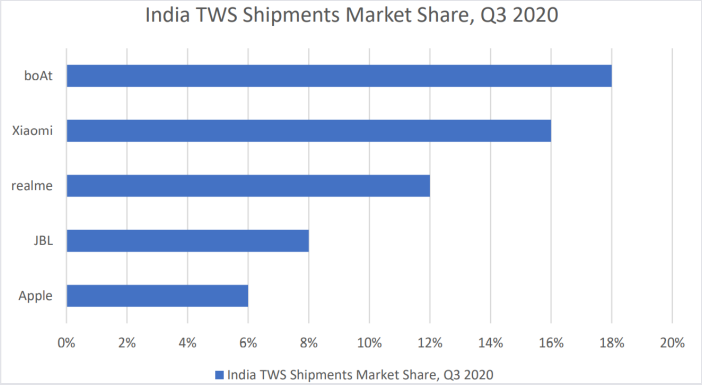
Marketing Strategy

- **90%** of the marketing budget went to digital, followed by print and offline.
- boAt knew the passions of Indians which were cricket and Bollywood so its brand ambassadors included people like Jacqueline Fernandez, Hardik Pandya, and KL Rahul.

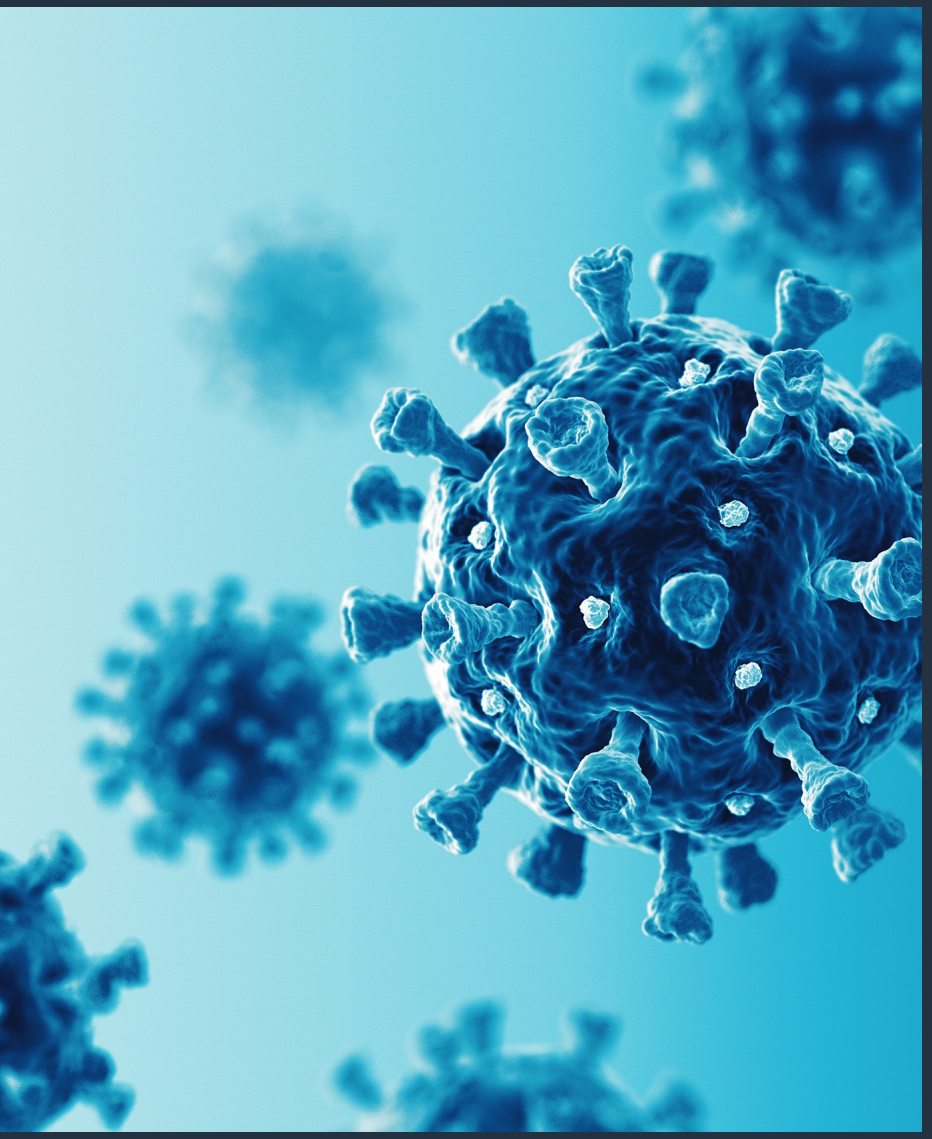
IPL Marketing Strategy

- Through video sequencing, boAt retargeted the audience who engaged with the first video in the sequence to view the next and so on, over **15** days.
- The videos featured the cricketers with boAt products and directed the viewers to the respective products' Amazon page.
- boAt used GIFs on Google Display Network to run ads optimized for maximum clicks, directed to the Amazon product page.

Market Scenario



- According to a Future Market Insights report, India's mobile phone market was estimated to exceed **$3.5 billion** by **2026**.
- The massive growth in online video consumption would be a demand driver attracting diverse customers.
- boAt's competitors include not only audio accessories makers like Mivi, Noise but also smartphone makers like Xiaomi and Realme who have expanded their range of affordable earphones, wireless earbuds, and portable speakers.



Impact of COVID-19

- The Indian earwear market was at **1.6 million** units in 2018 and went up to **8.5 million** in 2019.
- The pandemic accelerated this trend further as work from home and study from home became the new normal.
- In the first nine months, the number reached **17.3 million**.

Conclusion

- boAt was named the **no. 1** TWS earphone brand in India by Counterpoint Research in Q3 2020.
- The secret of their success was the excellent implementation of the 4Ps of marketing.
- boAt always priced its products aggressively, forcing big brands like JBL and Skullcandy to reduce prices.
- boAt used innovation to stay ahead of the curve and gave its customers the latest technologies like passive noise cancellation to enhance their overall experience.

Reference

Singh, L., & Agrawal, A. K. (2023). A case study on marketing strategy of boAt. The CASE Journal, 19(2), 117-136.

THANK
YOU